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01 September 2023

India | Equity research | Company update

TD Power Systems

Capital Goods

Management meeting note

We recently interacted with TD Power Systems' (TDPS) senior management in Mumbai. Key takeaways: 1) guided for revenue CAGR of 17-18% over the next 2-3 years and margins to sustain at the current level of 17%; 2) order pipeline in hydro is strong and the company targets to double the order inflow in the current year; indicated heathy growth ahead; 3) the recent railways' motor order worth INR 7.5bn is likely to see execution over the next 4-5 years; 4) current capacity utilisation is 70%; management has announced capex of INR 1.2bn in a phased manner; capex likely to lead to incremental revenue of INR 4bn-5bn. The stock is currently trading at 39x TTM. We believe the company is a potential beneficiary of pick-up in industrial capex, rising demand for captive power, and increased focus on renewable power globally.

Guided for revenue CAGR of 17-18%

Over the last five years (FY18-FY23), TDPS' consolidated revenue witnessed a healthy CAGR of 15% (FY23: +34% YoY). This was led by pickup in the capex cycle and large market share (80% in the domestic generator market). Going ahead, management is confident of revenue CAGR of 17-18% over the next few years on the back of robust order backlog of INR 13.9bn and enquiry pipeline across segments like hydro, steam and gas. TDPDS expects orders worth INR 500mn-600mn from Alstom, which has won an order for Train 18 aluminium frames for 100 trains.

EBITDA margin to sustain

TDPS' gross margin improved by 300bps to 32.3% between FY18-FY23. During Q1FY23, it further expanded to over 36% while EBITDA margin came in at 17.5%. Overall profitability has improved due to price hikes in the past, stable commodity prices and operating leverage. Company has been investing in automation, which it believes will result in further operating efficiency. Going ahead, management indicated the current EBITDA of 17.5% to sustain.

Capex to result in 1.3x incremental revenue

Current capacity utilisation stands at 70%. Company has announced capex of INR 1.2bn to setup its third plant over three phases. The management has guided for incremental revenue of INR 4bn-5bn from the third plant which once commissioned can lead to the company's total revenue reaching INR 17bn-18bn.

Financial summary

Y/E March (INR mn)	FY20A	FY21A	FY22A	FY23A
Net Revenue	5,149	5,936	7,974	8,723
EBITDA	279	648	919	1,302
EBITDA Margin (%)	5.4	10.9	11.5	14.9
Net Profit	62	320	631	955
EPS (Rs)	0.2	1.0	2.0	3.1
EPS % Chg YoY	(238.8)	420.4	97.0	50.9
P/E (x)	1,340.0	257.5	130.7	86.6
EV/EBITDA (x)	294.1	126.1	89.2	63.2
RoCE (%)	0.8	6.3	9.3	12.7
RoE (%)	1.5	7.1	12.6	16.9

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Market Data

Market Cap (INR)	41bn
Market Cap (USD)	500mn
Bloomberg Code	TDPS IN
Reuters Code	TDPS.BO
52-week Range (INR)	274 /95
Free Float (%)	41.0
ADTV-3M (mn) (USD)	0.2

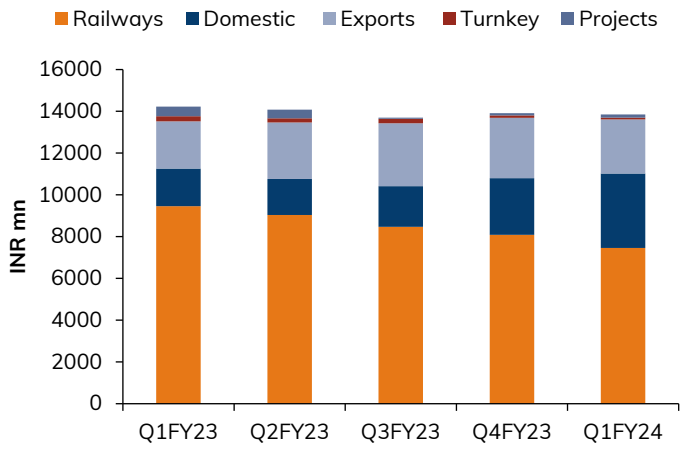
Price Performance (%)	3m	6m	12m
Absolute	28.2	89.6	127.7
Relative to Sensex	4.1	11.0	10.2

ESG Disclosure	2021	2022	Change
ESG score	-	-	-
Environment	-	-	-
Social	-	-	-
Governance	-	-	-

Note - Score ranges from 0 - 100 with a higher score indicating higher ESG disclosures.

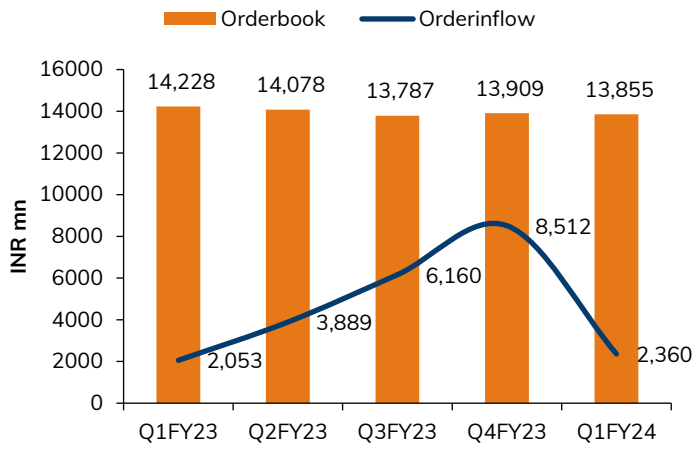
Source: Bloomberg, I-sec research

Exhibit 1: Quarterly orderbook breakup



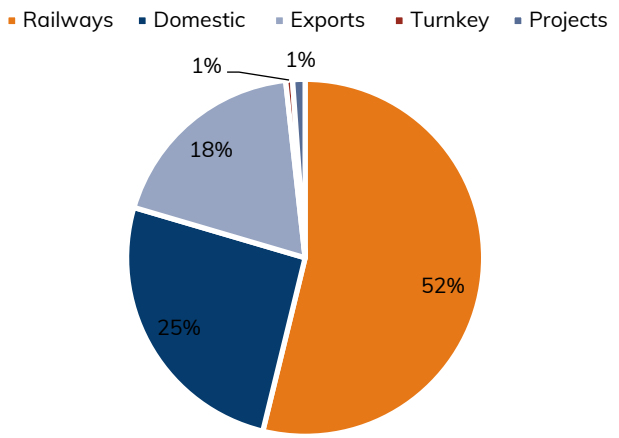
Source: Company data, I-Sec research

Exhibit 2: Quarterly orderbook and order inflow



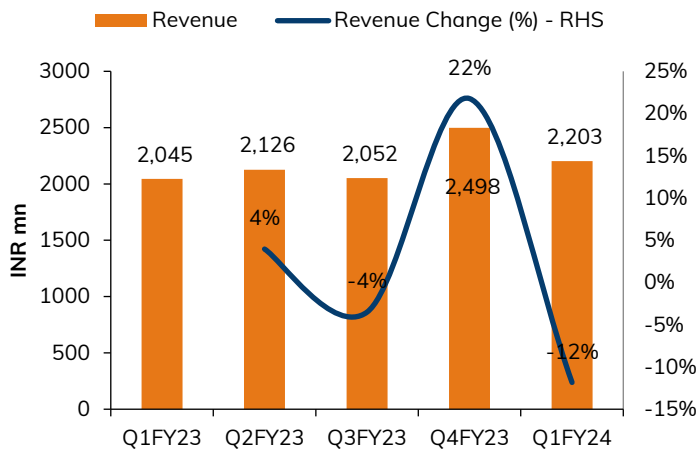
Source: Company data, I-Sec research

Exhibit 3: Percentage breakup of orderbook in Q1FY24



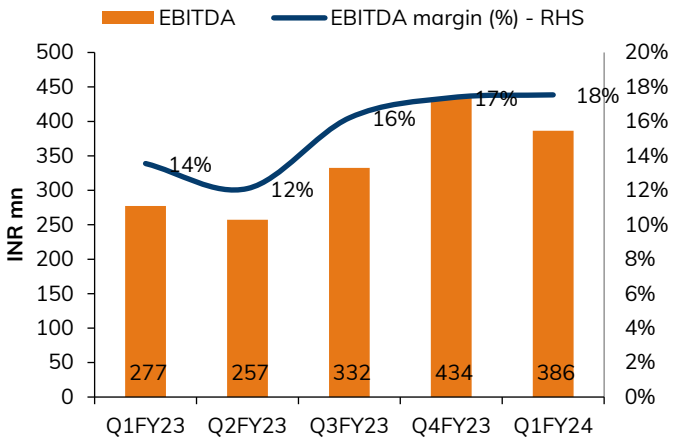
Source: Company data, I-Sec research

Exhibit 4: Quarterly revenue trend



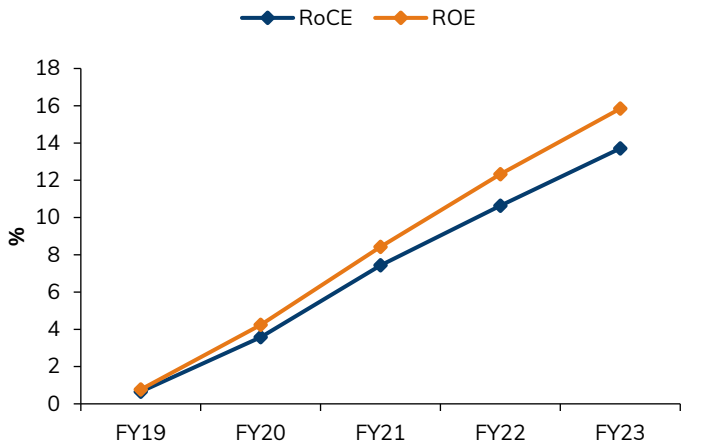
Source: Company data, I-Sec research

Exhibit 5: Quarterly EBITDA trend



Source: Company data, I-Sec research

Exhibit 6: Annual RoCE and RoE trend



Source: Company data, I-Sec research

Exhibit 7: Shareholding pattern

%	Dec'22	Mar'23	Jun'23
Promoters	58.5	58.5	58.4
Institutional investors	14.7	17.2	19.0
MFs and other	12.9	15.2	15.8
FIs and Banks	-	-	-
Insurance Cos.	0.2	0.2	0.6
FIIs	1.6	1.8	2.6
Others	26.8	24.3	22.6

Source: Bloomberg, I-Sec research

Exhibit 8: Price chart

Source: Bloomberg, I-Sec research

Financial summary

Exhibit 9: Profit & Loss

(INR mn, year ending March)

	FY20A	FY21A	FY22A	FY23A
Net Sales	**5,149**	**5,936**	**7,974**	**8,723**
Operating Expenses	1,216	1,269	1,357	1,517
EBITDA	**279**	**648**	**919**	**1,302**
EBITDA Margin (%)	5.4	10.9	11.5	14.9
Depreciation & Amortization	222	215	220	207
EBIT	56	433	698	1,095
Interest expenditure	98	93	21	11
Other Non-operating Income	-	-	-	-
Recurring PBT	**90**	**433**	**845**	**1,282**
Profit / (Loss) from Associates	**-**	**-**	**-**	**-**
Less: Taxes	28	113	214	327
PAT	62	320	631	955
Less: Minority Interest	-	-	-	-
Extraordinaries (Net)	-	-	-	-
Net Income (Reported)	**62**	**320**	**631**	**955**
Net Income (Adjusted)	**62**	**320**	**631**	**955**

Source Company data, I-Sec research

Exhibit 10: Balance sheet

(INR mn, year ending March)

	FY20A	FY21A	FY22A	FY23A
Total Current Assets	5,359	5,717	7,000	6,984
of which cash & cash eqv.	1,582	1,643	1,613	1,693
Total Current Liabilities & Provisions	2,583	2,559	3,006	2,105
Net Current Assets	**2,777**	**3,158**	**3,994**	**4,879**
Investments	199	199	199	199
Net Fixed Assets	1,801	1,739	1,664	1,633
ROU Assets	-	-	-	-
Capital Work-in-Progress	6	3	6	2
Total Intangible Assets	-	3	-	-
Other assets	17	24	185	214
Deferred Tax assets	-	-	-	-
Total Assets	**4,992**	**5,289**	**6,061**	**6,928**
Liabilities				
Borrowings	**677**	**520**	**710**	**851**
Deferred Tax Liability	**65**	**63**	**79**	**31**
provisions	-	-	-	-
other Liabilities	-	-	-	-
Equity Share Capital	309	309	311	312
Reserves & Surplus	3,941	4,397	4,961	5,733
Total Net Worth	**4,250**	**4,707**	**5,272**	**6,045**
Minority Interest	-	-	-	-
Total Liabilities	**4,992**	**5,289**	**6,061**	**6,928**

Source Company data, I-Sec research

Exhibit 11: Cashflow statement

(INR mn, year ending March)

	FY20A	FY21A	FY22A	FY23A
Operating Cashflow	**437**	**691**	**109**	**886**
Working Capital Changes	-	-	(652)	(231)
Capital Commitments	25	(149)	(52)	(104)
Free Cashflow	**413**	**840**	**161**	**990**
Other investing cashflow	**-**	**-**	**-**	**-**
Cashflow from Investing Activities	25	(149)	(52)	(104)
Issue of Share Capital	-	13	14	12
Interest Cost	(38)	(31)	(15)	(6)
Inc (Dec) in Borrowings	93	(156)	187	(710)
Dividend paid	(130)	(23)	(77)	(187)
Others	-	-	-	-
Cash flow from Financing Activities	(75)	(197)	109	(891)
Chg. in Cash & Bank balance	**387**	**345**	**80**	**(133)**
Closing cash & balance	1,666	1,927	1,723	1,480

Source Company data, I-Sec research

Exhibit 12: Key ratios

(Year ending March)

	FY20A	FY21A	FY22A	FY23A
Per Share Data (INR)				
Reported EPS	0.2	1.0	2.0	3.1
Adjusted EPS (Diluted)	0.2	1.0	2.0	3.1
Cash EPS	0.9	1.7	2.7	3.7
Dividend per share (DPS)	-	-	0.3	0.3
Book Value per share (BV)	13.7	15.1	16.9	19.4
Dividend Payout (%)	-	-	12.3	9.8
Growth (%)				
Net Sales	12.2	15.3	34.3	9.4
EBITDA	24.2	132.6	41.8	41.7
EPS (INR)	(238.8)	420.4	97.0	50.9
Valuation Ratios (x)				
P/E	1,340.0	257.5	130.7	86.6
P/CEPS	290.5	154.0	96.8	71.2
P/BV	19.4	17.5	15.6	13.7
EV / EBITDA	294.1	126.1	89.2	63.2
P / Sales	16.1	14.0	10.4	9.6
Dividend Yield (%)	-	-	0.1	0.1
Operating Ratios				
Gross Profit Margins (%)	29.0	32.3	28.5	32.3
EBITDA Margins (%)	5.4	10.9	11.5	14.9
Effective Tax Rate (%)	31.5	26.1	25.4	25.5
Net Profit Margins (%)	1.2	5.4	7.9	10.9
NWC / Total Assets (%)	23.9	28.6	39.3	46.0
Net Debt / Equity (x)	(0.3)	(0.3)	(0.2)	(0.2)
Net Debt / EBITDA (x)	(4.0)	(2.0)	(1.2)	(0.8)
Profitability Ratios				
RoCE (%)	0.8	6.3	9.3	12.7
RoE (%)	1.5	7.1	12.6	16.9
RoIC (%)	0.8	6.3	9.3	12.7
Fixed Asset Turnover (x)	2.7	3.4	4.7	5.3
Inventory Turnover Days	108	124	110	87
Receivables Days	130	107	127	118
Payables Days	108	71	79	57

Source Company data, I-Sec research

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